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IN THE DISTRICT COURT OF APPEAL OF FLORIDA,
THIRD DISTRICT

HUY H. TANG AND DUNG D. TRAN,

Petitioners,

v.

CITIZENS PROPERTY INSURANCE CORPORATION,

Respondent.
_____/

Case No.: **3D24-1987**

Lower Case No.: 24-003602PIC [DOAH]

On Appeal from a Non-Final Order of the Florida Division of Administrative Hearings

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PETITIONERS' PETITION FOR REVIEW

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TABLE OF CONTENTS

		Page
	TABLE OF CITATIONS	**3-4**
	PRELIMINARY STATEMENT	**5**
	STATEMENT OF THE CASE AND FACTS	**5-6**
I.	Factual Background	**5-6**
II.	Course of Proceedings Below	**7**
III.	Disposition of the Lower Tribunal	**7**
	BASIS OF JURISDICTION	**7-8**
	STANDARD OF REVIEW	**8**
	SUMMARY OF ARGUMENT	**8-9**
	ARGUMENT	**9-17**
I.	The DOAH Erred In Denying Petitioners' Motion To Dispense With Binding Arbitration Where Citizens Maintained Its Denial Of The Claim In Response To Petitioners' Notice Of Intent To Initiate Litigation Under Fla. Stat. 627.70152	
	CONCLUSION	**17**
	CERTIFICATE OF SERVICE	**18**
	CERTIFICATE OF COMPLIANCE	**19**

TABLE OF CITATIONS

CASES	PAGES
Cherry Lake Farms, Inc. v. Love, 176 So. 486 (1937)	11
Cole v. Universal Prop. & Cas. Ins. Co., 363 So. 3d 1089 (Fla. 4th DCA 2023)	10, 11
First Am. Title Ins. Co. v. Nat'l Union Fire Ins. Co., 695 So. 2d 475 (Fla. 3d DCA 1997)	15
Hillier Grp., Inc. v. Torcon, Inc., 932 So. 2d 449, 452 (Fla. 2d DCA 2006)	8
Hughes v. Universal Prop. & Cas. Ins. Co., 374 So. 3d 900 (Fla. 6th DCA 2023)	10, 11
Ibis Lakes Homeowners Ass'n v. Ibis Isle Homeowners Ass'n, 102 So. 3d 722, 727 (Fla. 4th DCA 2012)	8
Kidwell Grp. v. Am. Integrity Ins. Co., 339 So. 3d 1068 (Fla. 5th DCA 2022)	17
McConnell Wetenhall Citrus Props. v. Special Disab. Tr. Fund, 304 So. 2d 112 (Fla. 1974)	11
Pollock v. Reserve Ins. Co., 258 So. 2d 328 (Fla. 3d DCA 1972)	15

Pompano Horse Club, Inc. v. State, 111 So. 801 (1927) 11, 13

STATUTES

Fla. Stat. §627.70152 *Passim*

Fla. Stat. §627.351 *Passim*

Fla. Stat. §120.68 8

PRELIMINARY STATEMENT

Petitioners, HUY H. TANG AND DUNG D. TRAN, are the Petitioners below; this petition will refer to HUY H. TANG AND DUNG D. TRAN as Petitioners.

Respondent, CITIZENS PROPERTY INSURANCE CORPORATION, is the Respondent in the lower proceeding; this petition will refer to Respondent as Citizens.

The proceeding below is in front of the Florida Division of Administrative Hearings; this petition will refer to that division as DOAH.

The record on appeal consists of one volume, which will be referenced as the Record on Appeal. Citations to the written records will be to "App." followed by any appropriate page number, all in parentheses, based on the Appendix being filed along with the instant petition.

STATEMENT OF THE CASE AND FACTS

I. Factual Background

This is an action for insurance benefits arising under an all-risks Policy of insurance issued by Citizens to Petitioners, bearing number 03922153 (the "Policy"). [App. at 1-72]. Petitioners are the owners of a house located at 10054 SW 156TH AVE MIAMI, FL 33196 (the "Property"). On or about June 12, 2024, Petitioners' home sustained a loss due to a windstorm event,

causing damages to their home. Petitioners reported the claim to Citizens, who assigned claim no. 001-00-488744 to the loss. After investigating the claim, Citizens denied the claim. [App. at 73-75].

Following Citizens decision on the claim, the Petitioners filed the statutorily required Notice of Intent to Initiate Litigation pursuant to Fla. Stat. §627.70152 on September 13, 2024. [App. at 76-77]. In response to Petitioners' Notice of Intent based on the denial of the claim, on September 19, 2024, Citizens sent a letter to its insureds stating Citizens "has determined to stand by [its] prior decision to deny coverage for this loss." [App. at 78-79]. Also on September 19, 2024, Citizens sent a second letter to its insureds also in response to Petitioners' Notice of Intent to Initiate Litigation stating that Citizens "has determined that it will seek resolution of this matter by invoking Alternative Dispute Resolution through the Division of Administrative Hearings (DOAH) pursuant to the policy endorsement number CIT HO 03 15." [App. at 80-81]. As such, it is undisputed that Citizens denied the claim, and that it continued to deny coverage following Petitioners' notice of intent to initiate litigation being served.

II. Course of Proceedings Below

On September 30, 2024, the claim was sent to administrative proceedings with the DOAH following Citizens' request for arbitration hearing and set for a final binding arbitration hearing on January 6 and 7 of 2025. On October 18, 2024, Petitioners moved to dispense with the arbitration proceeding, arguing that the DOAH lacked jurisdiction over the dispute because Citizens did not properly invoke arbitration. Specifically, Fla. Stat. §627.70152(4)(a) only allows a property insurer in Florida, including Citizens, to respond to a notice of intent to initiate litigation in one of three ways: (1) accepting coverage; (2) continuing to deny coverage; **or** (3) asserting the right to reinspect the damaged property.

III. Disposition of the Lower Tribunal

On October 23, 2024, the DOAH entered an order denying Petitioners' Motion to Dispense with the Arbitration Proceeding and Hearing. The instant appeal followed.

BASIS OF JURISDICTION

In accordance with the Court's Order of January 8, 2025, Petitioners file this petition for review along with an appendix that is being filed under separate cover in support of the instant petition. The basis for jurisdiction pursuant to this Court's January 8 Order is predicated upon Appellate Rules

9.100(c)(3) and 9.190(b)(2), as well as Fla. Stat. §120.68. Ancillary grounds likewise exist pursuant to Art. V, § 4(b)(2), Fla. Const..: "(2) District courts of appeal shall have the power of direct review of administrative action, as prescribed by general law." see Eight Hundred Inc. v. Florida Dept. of Revenue, 837 So.2d 574, 575 (1st DCA 2003).

STANDARD OF REVIEW

The appellate courts' standard of review of an order denying a motion to dispense arbitration, like a motion to compel arbitration, is de novo. Hillier Grp., Inc. v. Torcon, Inc., 932 So. 2d 449, 452 (Fla. 2d DCA 2006); Ibis Lakes Homeowners Ass'n v. Ibis Isle Homeowners Ass'n, 102 So. 3d 722, 727 (Fla. 4th DCA 2012).

SUMMARY OF THE ARGUMENT

Petitioners argue that the DOAH committed reversible error by and through denying the motion to dispense the arbitration proceeding as it is unsupported by Florida law. The DOAH also committed error in its interpretation of Fla. Stat. §627.70152, in holding that an insurer that denies a claim, and continues to deny a claim in response to a Notice of Intent to Initiate Litigation, can simultaneously also respond to said Notice of Intent by invoking an alternative dispute mechanism such as binding arbitration. Further, the DOAH erred in its application and misreading of Fla. Stat. §627.351(6)(ll), by finding that the latter authorizes Citizens to invoke

arbitration in response to a Notice of Intent based on a denial.

ARGUMENT

I. THE DOAH ERRED IN DENYING PETITIONERS' MOTION TO DISPENSE WITH BINDING ARBITRATION WHERE CITIZENS MAINTAINED ITS DENIAL OF THE CLAIM IN RESPONSE TO PETITIONERS' NOTICE OF INTENT TO INITIATE LITIGATION UNDER FLA. STAT. §627.70152

In Florida, insureds must comply with Fla. Stat. §627.70152 prior to filing a lawsuit involving property insurance claims as a condition precedent. Specifically, insureds are required to file a statutorily compliant Notice of Intent to Initiate Litigation. Insurers, including Citizens, are also required to comply with the Statute and respond to a Notice of Intent to Initiate Litigation in the matter delineated by the §627.70152. Section 4 of the Statute provides how an insurer must respond, depending on whether the Notice of Intent followed a denial or a decision other than a denial, as provided below:

> (a) If an insurer is responding to a notice served on the insurer **following a denial of coverage** by the insurer, the insurer **must respond by**:
> 1. Accepting coverage;
> 2. Continuing to deny coverage; **or**
> 3. Asserting the right to reinspect the damaged property. If the insurer responds by asserting the right to reinspect the damaged property, it has 14 business days after the response asserting that right to reinspect the property and accept or continue to deny coverage. The time limits provided in s. 95.11 are tolled during the

> reinspection period if such time limits expire before the end of the reinspection period. If the insurer continues to deny coverage, the claimant may file suit without providing additional notice to the insurer.
>
> (b) If an insurer is responding to a notice provided to the insurer **alleging an act or omission by the insurer other than a denial** of coverage, the insurer **must respond by** making a settlement offer or requiring the claimant to participate in appraisal or another method of alternative dispute resolution.

See Fla. Stat. 627.70152 (4)(a),(b) (emphasis added).

Thus, under §627.70152, if an insurer is responding to a notice of intent following a denial of coverage, the statute specifies that the insurer must respond in only one of three ways: accepting coverage, continuing to deny coverage, or asserting the right to reinspect the damaged property. Fla. Stat. §627.70152; see also Cole v. Universal Prop. & Cas. Ins. Co., 363 So. 3d 1089 (Fla. 4th DCA 2023); Hughes v. Universal Prop. & Cas. Ins. Co., 374 So. 3d 900 (Fla. 6th DCA 2023). The statute does not explicitly provide for the option of invoking arbitration in this context.

However, if the notice of intent involves an act or omission by the insurer other than a denial of coverage, the insurer may respond by making a settlement offer or requiring the claimant to participate in appraisal or another method of alternative dispute resolution. Fla. Stat.

§627.70152(4)(b); see also Cole v. Universal Prop. & Cas. Ins. Co., 363 So. 3d 1089 (Fla. 4th DCA 2023); Hughes v. Universal Prop. & Cas. Ins. Co., 374 So. 3d 900 (Fla. 6th DCA 2023). This shows that an insurer cannot invoke arbitration or other methods of alternative dispute resolution in response to a notice of intent served pursuant to §627.70152 in cases where the dispute involves a denial of coverage.

In Florida, the legal significance of using "or" instead of "and/or" or "and" in a statute generally indicates a disjunctive meaning, presenting alternatives rather than a combination of options. The word "or" is typically construed as a disjunctive particle that marks an alternative, corresponding to "either this or that". See Pompano Horse Club, Inc. v. State, 111 So. 801 (1927); Cherry Lake Farms, Inc. v. Love, 176 So. 486 (1937); McConnell Wetenhall Citrus Props. v. Special Disab. Tr. Fund, 304 So. 2d 112 (Fla.1974). For example, in the case of Pompano Horse Club, Inc. v. State, the Florida Supreme Court noted that "or" is usually construed as disjunctive unless it is clear that the Legislature intended it to be conjunctive. Pompano Horse Club, Inc., 111 So. at 425. Here, nowhere in §627.70152 does the Florida legislature make it clear that even though the word “or” is used in Section 4(a), it was intended to be conjunctive and not disjunctive. Petitioners’ Notice of Intent pursuant to §627.70152 was filed following

Citizens' denial of the claim. Both letters sent by Citizens on September 19, 2024 indicate that each letter is in response to Petitioners' Notice of Intent. The letter stating that Citizens continued to deny the claim provides: "[t]his letter is in follow up to the written *Notice of Intent to Initiate Litigation (NOI)* pursuant to Florida Statute, Section 627.70152(3), receipt of which we previously acknowledged. Citizens has reviewed the referenced claim file and any documents and information presented with the NOI and has determined to stand by our prior decision to deny coverage for this loss." [App. at 78-79] (emphasis in original).

The second letter also sent on September 19, 2024, where Citizens claims to have invoked its right to arbitration, provides: "This letter is in follow up to your written *Notice of Intent to Initiate Litigation* (NOI) pursuant to Florida Statute, Section 627.70152(3), receipt of which we previously acknowledged. Citizens has reviewed the referenced claim file and any documents and information presented with the NOI and has determined that it will seek resolution of this matter by invoking Alternative Dispute Resolution through the Division of Administrative Hearings (DOAH) pursuant to the policy endorsement number CIT HO 03 15. [App. at 80-81] (emphasis in original).

Based on the plain language of §627.70152, it is clear that an insurer

such as Citizens, cannot respond to a Notice of Intent by invoking an alternative dispute resolution method such as arbitration. The Statute expressly provides that an insurer responding to a notice of intent following a denial must respond by one of the three options listed under Section (4)(a). Alternative dispute resolution is not one of the three options under Section (4)(a). As such, Citizens attempt to invoke arbitration in response to the Notice of Intent is not authorized by §627.70152.

Moreover, in the absence of clear Legislative intent for the "or" in §627.70152(4)(a) to be characterized as conjunctive, it must be characterized as disjunctive. Pompano Horse Club, Inc. v. State, 111 So. 801 (1927). Citizens argued below, as a workaround to the express disjunctive options set forth in Section 4(a), that it is authorized to invoke arbitration based on Fla. Stat. §627.351(6)(ll), which provides that "[i]n addition to any other method of alternative dispute resolution authorized by state law, [Citizens] may adopt policy forms that provide for the resolution of disputes regarding its claim determinations, including disputes regarding coverage for, or the scope and value of, a claim, in a proceeding before the Division of Administrative Hearings." See Fla. Stat. §627.351(6)(ll).

Citizens argued below, and the DOAH agreed, that because of Fla. Stat. §627.351(6)(ll), Citizens can both respond to a notice of intent following

a denial by continuing to deny the claim **and** also invoke arbitration. [App. at 108-109]. This argument and subsequent ruling issued by the judge below are unsupported by Florida law for a few reasons.

First, §627.351(6)(ll) states that Citizens can include in its policy that a dispute including a coverage dispute be resolved in a proceeding before the DOAH, not that arbitration or other method of alternative dispute resolution for that matter can be asserted in response to a notice of intent following a denial.

Second, §627.351(6)(ll) immediately follows the quoted language above with the following statement: "Any such policies are not subject to s. 627.70154." If the Legislature intended for the disjunctive options in Fla. Stat. §627.70152(4)(a) to not apply to Citizens, it could have stated so as it did with Fla. Stat. §70154. It did not. Fla. Stat. §627.70152 does not mention Fla. Stat. §627.351 either. In fact, §627.351 is silent as to whether Defendant is allowed to respond to a notice of intent to initiate litigation following a denial by continuing to deny coverage and invoking the arbitration endorsement. On the other hand, §627.70152 provides the specific procedure for what an insurer must do when responding to a notice of intent, and subsection (4)(a) which is applicable to the case at hand, does not provide for an insurer to respond by requiring the claimant to participate in alternative dispute

resolution.

Third, §627.351 is not in conflict with §627.70152. In fact, both statutes operate in separate domains within the broader context of insurance law and do not inherently conflict with one another. Further, §627.351 does not render any guidance as to whether Citizens can simultaneously respond to a notice of intent to initiate litigation following a denial by continuing to deny coverage and invoking the arbitration endorsement. It is §627.70152 being the statute that specifically addresses the procedure required by an insurer in response to the subject notice of intent, the one that controls. Therefore, Citizens' argument, and the DOAH's ruling below, are unsupported by §627.70152.

Fourth, §627.351 is silent as to whether Citizens waived its right to arbitration. However, this Court has previously held that an insurer can waive its right to compel arbitration by denying a claim. First Am. Title Ins. Co. v. Nat'l Union Fire Ins. Co., 695 So. 2d 475 (Fla. 3d DCA 1997); Pollock v. Reserve Ins. Co., 258 So. 2d 328, 329 (Fla. 3d DCA 1972) (finding that an insurance company's letter of denial of coverage is sufficient to constitute a waiver of the insurance company's right to arbitration) citing to Am. S. Ins. Co. v. Daniel, 198 So. 2d 850, 853 (Fla. 1st DCA 1967). Here, Citizens waived its right to arbitration, if any, by denying the instant claim. Citizens

subsequent action of continuing to deny coverage in response to the notice of intent to initiate litigation further evidences the waiver of its right to arbitration.

It follows that based on the plain language of §627.70152, Citizens cannot respond to a notice of intent following a denial of coverage by invoking arbitration because it was limited to the three specified responses in section 4(a): accepting coverage, continuing to deny coverage, or asserting the right to reinspect the property. The provision in the Statute that provides for alternative dispute resolution is §627.70152(4)(b). This implies that arbitration or other alternative dispute resolution is not applicable in cases where there is a complete denial of coverage.

Here, the administrative judge's decision to proceed with the arbitration hearing under these circumstances is inconsistent with the specific procedures outlines in §627.70152(4)(a). The Statute provides a clear and specific procedure for the insurer's response to a Notice of Intent to Initiate Litigation, which does not include invoking arbitration. Therefore, the administrative judge erred in continuing with the administrative proceeding and arbitration hearing under Florida law.

As such, this Court should reverse the order denying Petitioners' Motion to Dispense with Arbitration Proceeding, and remand the case with

instructions to dismiss the administrative proceeding, the arbitration and vacate any other related orders entered following the instant order being appealed. Kidwell Grp. v. Am. Integrity Ins. Co., 339 So. 3d 1068, 1070 (Fla. 5th DCA 2022) (finding it appropriate to vacate the lower court's interlocutory order granting a motion to strike claim for attorney's fees based on the reversal of the dismissal order being appealed).

CONCLUSION

For the foregoing reasons, the DOAH order denying Petitioners' Motion to Dispense with Arbitration Proceeding and Hearing set for January 6-7, 2025 should be reversed, and the case remanded with directions to dismiss the arbitration.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing has been furnished by this Court's E-Portal automatic E-Mail service on this Thursday, January 16, 2025, to the following:

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CERTIFICATE OF COMPLIANCE

I HEREBY CERTIFY that this brief complies with the font requirements in Florida Rule of Appellate Procedure 9.045(b) and the word count limit in Florida Rule of Appellate Procedure 9.210(a)(2)(B).

By: /s/ Santino Ruiz
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